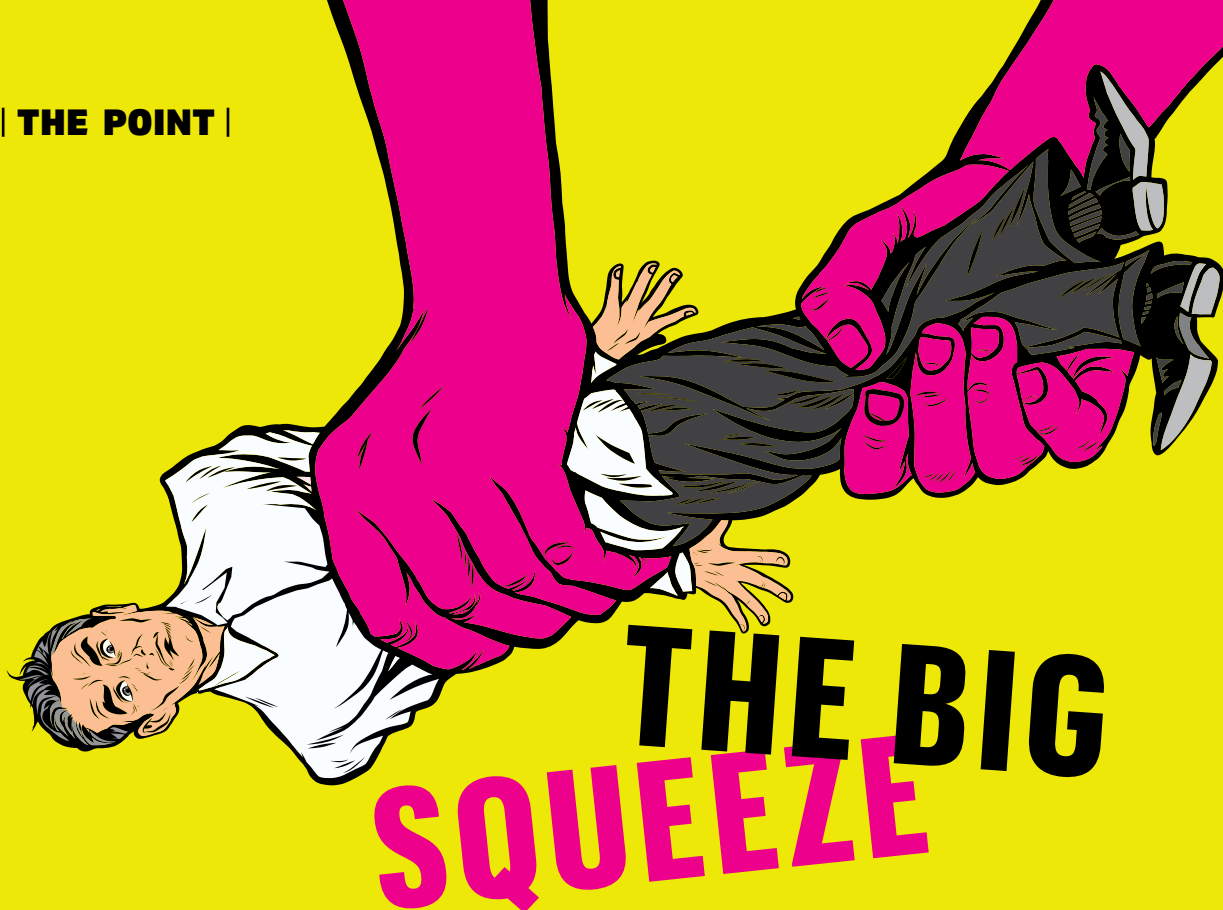




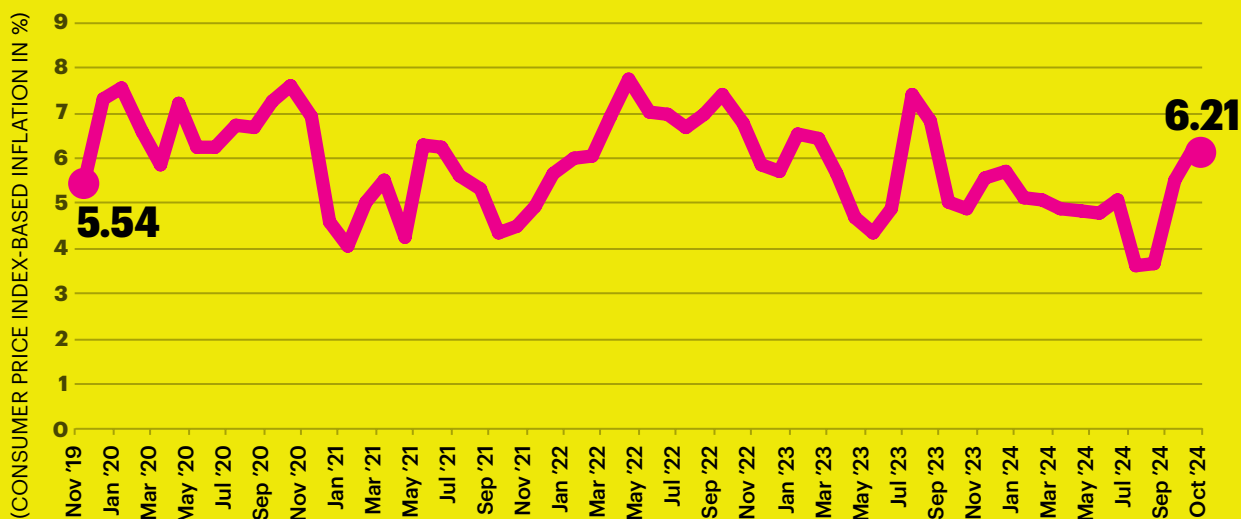
THE BIG SQUEEZE

AFTER REMAINING WITHIN THE RESERVE BANK OF INDIA'S TOLERANCE LIMIT FOR 12 MONTHS, THE RETAIL INFLATION RATE SOARED PAST THE 6% MARK ONCE AGAIN IN OCTOBER. IT REACHED A 14-MONTH HIGH OF 6.21%, DRIVEN BY INCREASES IN THE PRICES OF VEGETABLES, EDIBLE OILS, AND PRECIOUS METALS. THIS UNEXPECTEDLY HIGH PRINT WILL IMPACT RBI'S MONETARY POLICY DECISION, SCHEDULED FROM DECEMBER 4-6, AND COULD FORCE CONSUMERS TO CUT BACK ON SPENDING JUST WHEN THE ECONOMY NEEDS IT TO INCREASE. HERE IS WHAT THE DATA INDICATES:

By **RAHUL OBEROI** and **PRINCE TYAGI**
Graphics by **RAJ VERMA**

PAIN POINT

IN OCTOBER, RETAIL INFLATION SURPASSED THE RBI THRESHOLD OF 6% FOR THE FIRST TIME SINCE AUGUST 2023



SOURCE CMIE ECONOMIC OUTLOOK